## TAKEAWAYS FROM THE VEEP'S VISIT

- Vance's visit gets the optics right, assures Delhi that the Bilateral Trade Agreement is on course
- PMO, White House say a roadmap is set for BTA; talks start in US
- It will help achieve bilateral goal of reaching $500 million trade, lower tariffs on US goods, help India protect its farm sector
- Vance urges India to buy more defence and energy products; offers F-35 jets, Javelin anti-tank missiles, Stryker armoured vehicles
- India-US cooperation in Indo-Pacific, West Asia, Ukraine also part of Modi-Vance talks
- Vance says India-US ties will shape 21st century, admires "tough negotiator" Modi



ANI

**FAMILY TIME** J.D. and Usha Vance with their children at Delhi's Akshardham temple, Apr. 21

Those words may have been reassuring for Indian audiences. Most would have watched his live TV joust with Ukraine's president Volodymyr Zelensky, some may have harkened to the take-no-prisoners approach in his February speech to European leaders. But equations with India are different, and New Delhi's tactical nous, too, is considerable. By all parameters, Vance's India sojourn was deemed a successful one for both sides, with all the optics and signalling on relevant issues entirely in place. The primary mood-lifter was Vance's assurance that his government is committed to buttressing trade relations with India through the proposed bilateral trade agreement (BTA) that both sides agreed to work on during Prime Minister Narendra Modi's US visit in February.

Things had seemed on course—there was a broad directionality. But that was before President Donald J. Trump pulled out his 'Liberation Day' blitzkrieg of reciprocal tariffs on April 2. Even if it got off lighter, India, too, copped a 26 per cent tariff. Then Trump put a 90-day pause on the whole exercise, but that didn't end the uncertainty over what the landscape would look like once the fog lifted. For India, that meant a whole lot more heavy lifting would be required to get its BTA on favourable terms. It's against this backdrop that Vance's April 21-24 visit helped soothe nerves, signalling that an autumn deal is on its way.

Within a day of his arrival, statements from the Prime Minister's Office and the White House put out that the terms of reference for the BTA negotiations had been finalised, thus laying down a roadmap. The second round of face-to-face talks, in fact, kicked off in Washington DC on April 23—the Indian delegation, led by chief negotiator Rajesh Aggarwal, exchanged preliminary views with US officials on the scope and scheduling of sector-wise tariff reduction. Expectations are that India would be able to talk tariffs down on some of its merchandise exports in lieu of lower import tariffs on a few US goods. Back in India, Vance echoed Trump by calling PM Modi a "tough negotiator", saying that was the reason why the US respected him.

The bonhomie will be important if the multi-sector partnership deal is to bear fruit. Its original plan was to eliminate US angst over India's trade surplus by boosting overall bilateral trade to $500 billion (Rs 43.4 lakh crore), including both merchandise and services, by 2030, from $194 billion (Rs 16.6 lakh crore) in CY 2023. Trump's tariffs put a blip on that, and industry players say only a BTA can salvage at least a part of India's present trade with the US. If India is to protect its agricultural sector and push for greater access to the US market, there will be a quid pro quo—perhaps in energy. The US seeks greater access for its energy exports (LNG, crude, ethanol, coal) to India's rapidly growing energy market. India had increased purchases of US energy during Trump's first term and there have been hints that New Delhi could hike it further as part of measures to reduce India's trade surplus.

**BESIDES A TRADE PACT, MODI AND VANCE ALSO REVIEWED US-INDIA COOPERATION ON ENERGY, DEFENCE AND STRATEGIC TECHNOLOGIES**

Trade, of course, is not merely about commodities, it has a geopolitical correlate. During their April 21 meeting, Modi and Vance reviewed US-India cooperation in areas such as energy, defence and strategic technologies. Partnership in the Indo-Pacific region, the Quad, China's military presence, the Ukraine-Russia war and the West Asia situation—all the macro topics figured in the talks. In his Jaipur address, Vance urged India to buy more American defence products and ramp up energy purchases and, echoing Trump, offered India the F-35 stealth aircraft. US-made Javelin anti-tank missiles and Stryker